

What of the possible reward? How high could she expect the stock to rise? Long-term price charts were no help as the stock was making new highs almost daily. Jenny shrugged because there was no way to determine where the rise would stop. Her only guess was that it might pause at 35, 40, or 45, price points where investors might decide to sell (round number resistance). Any one of those points could point the stock down, she decided. Even the current 30 level might be the highest price the stock would see.

After her analysis was complete, she was still confident that the stock held promise of additional gains. She decided to hang onto the stock. If the stock declined to the warning line, she would sell it. She placed a stop-loss order at 27.50, the current value of the warning line.

During late September and into the start of October, the stock followed the sell line upward. On 12 October, the stock jumped up again. After a week or so, Jenny was able to draw another sell line parallel to the original BARR trendline that intersected stock price. She decided that should the stock fall to the lower sell line, she would dump the stock. She raised her stop-loss order to 31.

The stock did not return to the lower sell line.

The stock reached a minor high of 34.38 on 19 October, then retraced some of its prior gains. It curled around and reached a low of 32.88 before turning around. Jenny printed out another price chart and drew a new trendline. This line had a slope of about 60 degrees. She smiled as the BARR was performing exactly as predicted.

During the first part of December, price pierced the 60-degree trendline when the stock began moving sideways. Jenny suspected that the rise was nearly over, but one could never tell for sure until it was too late. She decided that should the stock decline below the latest sell line, she would close out her position.

The stock moved up again. A few days after Christmas, the stock reached a new high of 39.75 and Jenny was able to draw another sell line. During the next 2 weeks, the stock declined to the lower sell line, then rebounded to challenge its recent high. On 15 January, the stock peaked at 39.88, a smidgen below the 40 resistance number she estimated earlier.